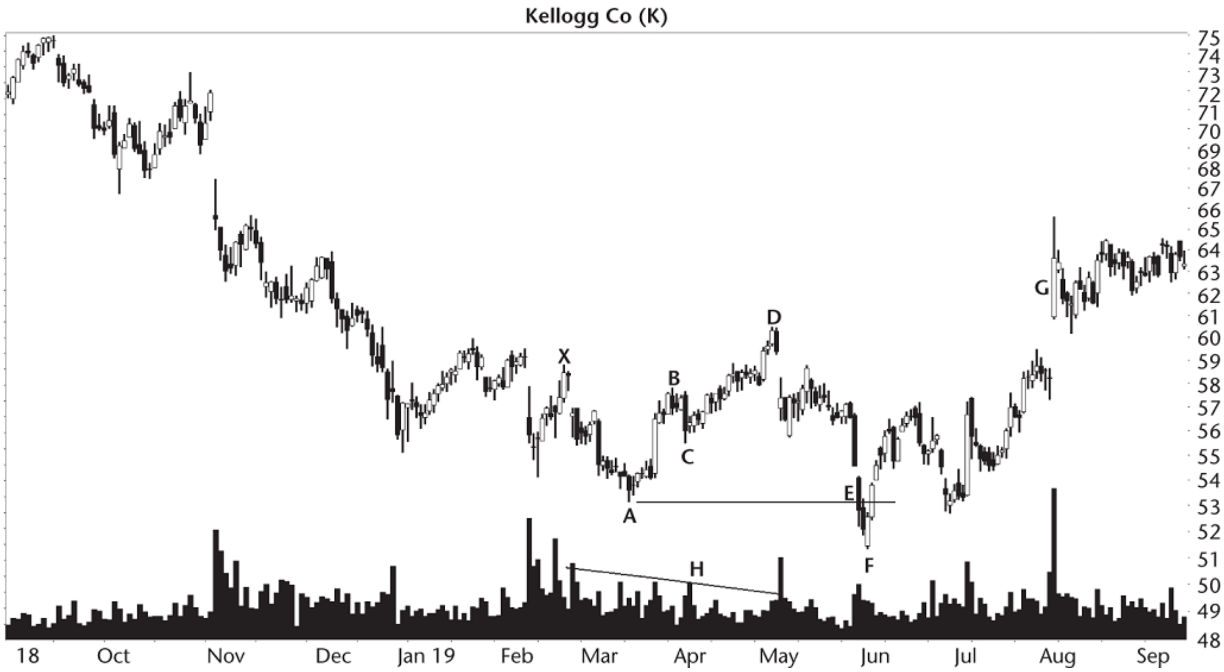

Figure 16.2 This bearish butterfly sees price drop from D and stall just below the bottom of the pattern.

BA/XA retrace. Locate point B by computing the Fibonacci ratio of leg BA to XA. Because this pattern is so complicated, I used the high–low price range of the last point (B) in the ratio. For example, X has a high price of 58.81, the low at A is 53.14, and the high–low range of B is 57.81 to 56.69. Using the high price of B, we get (57.81 – 53.14)/(58.81 – 53.14) or .82. Substituting the low price at B in the equation gives a number of .63. Because the range of .63 to .82 encompasses the target .786 Fibonacci retrace, the location of point B qualifies as valid.

Your software may use other algorithms for pattern recognition, so don't be surprised if your bearish butterflies are different from the ones you see in this chapter.

BC/BA retrace. In a similar manner, I qualify turn C. The ratio is governed by leg BC to BA. The high–low range of point C is 57.65 to 55.50. The result would be (using the high price at B and the low at C) (57.81 – 55.50)/(58.81 – 53.14) or .495. Using the high at C gives a value of .034. The .034 to .495 range must span one of the Fibonacci numbers listed in Table 16.1. It swallows the .382 value, so point C is fine.